Microsoft Investment Due Diligence

NEXUS RESEARCH DESK | PUBLIC EVIDENCE REVIEW

DOCUMENT CONTROL	DETAIL
Target	Microsoft
Transaction	Public evidence review for public equity
As-of date	6 November 2026
Currency / unit	USD millions unless stated
Prepared by	Nexus Research Desk
Review status	Research draft. Independent sign-off pending
Linked financial workbook	microsoft-due-diligence.xlsx

Research as of 6 November 2026. Filed facts, company announcements and analyst assumptions are identified separately.

1 Executive Investment Assessment

DECISION ITEM	ASSESSMENT AND OPEN ITEMS
Preliminary disposition	Defer pending verification
Core thesis	Azure and Microsoft 365 give Microsoft established distribution for AI. The underwriting case requires incremental capacity to generate durable cash returns after reinvestment.
Indicative transaction	No transaction terms or executable price assumed.
Investment test	Cash additions to property and equipment and finance leases
Conditions precedent	Reconcile cash capex to lease-adjusted capacity commitments and test cloud utilization and OpenAI collections under a downside case.
Disconfirming evidence	Customer ramp timing, pricing pressure and large partner exposures can leave Microsoft funding capacity ahead of realized demand.

2 Business and Competitive Position

FY2026 revenue and operating cash flow rose. Cash spending on property and equipment climbed faster, so the economics depend on what the new capacity earns. Azure and Microsoft 365 give Microsoft established distribution for AI. The underwriting case requires incremental capacity to generate durable cash returns after reinvestment.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Market size	Segment filings and independent demand data	Build a bottom-up range. No verified TAM is assumed.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Competitive advantage	FY2026 10-K · Consolidated Statements of Cash Flows	Operating cash flow rose from $136.2B to $182.9B. Cash additions to property and equipment rose from $64.6B to $115.9B, leaving $67.0B after cash capex versus $71.6B a year earlier.
Revenue concentration	FY2026 10-K · Management's Discussion and Analysis	Microsoft Cloud revenue rose from $168.9B to $214.4B. Reported operating income rose from $128.5B to $155.2B.
Growth quality	FY2026 10-K · OpenAI relationship disclosure	Microsoft disclosed $24.1B of FY2026 commercial revenue from arrangements with OpenAI, including revenue sharing, and a $6.0B receivable at year-end. Assess collection risk independently of the investment position.
Regulation	Public filings and relevant case dockets	Review cloud and AI competition, data handling and incident controls. Monitor partner contract changes and related-party accounting.

3 Financial Diligence and Earnings Quality

USD millions. Audited fiscal years ended June 30. D&A historical proxy is the cash flow line "Depreciation, amortization, and other." Cash capex excludes noncash lease additions. FY2024 revenue 245,122, operating income or loss 109,433, and operating cash flow 118,548, with cash capex of 44,477. FY2025 revenue 281,724, operating income or loss 128,528, and operating cash flow 136,162, with cash capex of 64,551. FY2026 revenue 331,839, operating income or loss 155,237, and operating cash flow 182,935, with cash capex of 115,948.

RECONCILIATION	SOURCE	PROCEDURE	OPEN ISSUE
Revenue	Primary issuer filing	Tie annual and interim periods separately.	Check mix and repeatability.
Operating earnings	Filed results when available	Separate operating performance and financing remeasurement.	Independent QoE pending.
Working capital	Cash flow and balance sheet notes	Bridge payment timing and customer/vendor balances.	Normalize before forecasting.
Cash conversion	Operating cash flow and cash capex	Compare cash measures and assess noncash lease additions.	Check cash obligations separately.
Debt-like items	Financing and commitments notes	Reconcile debt, leases, and preferential claims.	Equity bridge pending.

4 Valuation and Market Comparisons

The workbook projects five years of unlevered cash flow from reported revenue and editable operating assumptions. An assumed discount rate and perpetual growth drive enterprise value and a sensitivity grid. This is a conditional scenario. A dated market price and complete equity bridge are required before judging upside. At a 9.5% discount rate and 3.0% terminal growth, the scenario enterprise value is $1,655.5 billion at FY2026 year end. The discounted terminal value accounts for 80% of that result.

METHOD	BASIS / PROCEDURE	KEY SENSITIVITIES	VERIFICATION
DCF	Five-year FCFF scenario	Growth, margin, capital intensity and discount rate	Illustrative assumptions
Trading peers	Pending dated comparable inputs	Business mix, fiscal periods, equity and debt bridge	No multiple published
Precedent M&A	Pending comparable transactions	Control premium, timing and rights	No multiple published
LBO	No control transaction assumed	Sponsor entry, debt covenants and exit terms	Out of scope

5 Financing and Capital Requirements

No sponsor buyout is assumed. Review the maturity ladder, lease obligations and cash investment alongside recurring enterprise cash generation.

VALUE-CREATION LEVER	OPERATING KPI / CONTROL	100-DAY DILIGENCE PRIORITY
Retention and upsell	Cash additions to property and equipment and finance leases	Review cohorts and concentration.
Margin improvement	Azure utilization, commercial backlog and margins	Bridge unit cost and reinvestment.
Add-on M&A	No acquisitions underwritten	Review only identified opportunities.
Debt and commitments	OpenAI receivables and commercial concentration	Reconcile obligations by due date.
Exit and liquidity	No exit price assumed	Verify rights and financing access.

6 Quantitative Research and Model Checks

No portfolio return statistics are published without an aligned, point-in-time total-return series. The scenario narratives describe mechanisms to test. They carry no assigned probabilities.

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Beta and tracking error	Use aligned total returns and an appropriate benchmark.	Pending verified series
VaR and CVaR	Evaluate over a sufficient sample and stress regimes.	Withheld
Drawdown	Use date-aligned peak-to-trough returns.	Withheld

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Forecast validation	Check fiscal alignment and reconcile inputs to filings.	Independent review pending
Scenario analysis	Base case. Cloud grows, but reinvestment limits near-term cash conversion.	Stress against bear case.

7 Legal Tax Cyber and Governance

WORKSTREAM	MINIMUM DOCUMENTS	RED FLAG / CLOSING GATE
Legal and corporate	Filings, governance documents and litigation dockets	Review cloud and AI competition, data handling and incident controls. Monitor partner contract changes and related-party accounting.
Debt and commitments	Credit and commercial contracts	Test maturities, remedies and liquidity.
Tax	Tax disclosures and relevant jurisdiction filings	Reconcile recurring taxes and disputes.
Cyber and privacy	Incident disclosures and security controls	Review independent assurance.
Governance and people	Board, voting and succession disclosures	Confirm control and approvals.

8 Risk Register and Decision Gates

MATERIAL RISK	INHERENT SEVERITY	REQUIRED MITIGATION	GATE
Infrastructure investment and partner concentration	High	Reconcile cash capex to lease-adjusted capacity commitments and test cloud utilization and OpenAI collections under a downside case.	Open
Upside case	Scenario	Azure and Microsoft 365 monetization absorb capacity quickly and free cash flow expands.	Test
Downside case	Scenario	Capacity commitments stay high as demand slows or partner collections weaken.	Test
Liquidity and cash timing	High	Build a dated commitments and cash bridge.	Open
Model risk	High	Review source dates, assumptions and scenario outputs.	Open

9 Evidence Log and Review Workflow

ITEM / ID	OWNER / SOURCE	STATUS	DECISION RELEVANCE
FIN-01 Accounts	Issuer filings or auditor	Reviewed publicly	Audited fiscal years ended June 30. D&A historical proxy is the cash flow line “Depreciation, amortization, and other.” Cash capex excludes noncash lease additions.
FIN-02 Earnings quality	Finance diligence	Open	Reconcile operating profit and cash.
COM-01 Commercial review	Research desk	Open	Cash additions to property and equipment and finance leases
LEG-01 Governance	Legal diligence	Open	Confirm decision rights and exposures.
DEAL-01 Financing	Treasury diligence	Open	OpenAI receivables and commercial concentration

10 Investment Committee Resolution

Proposed research disposition is defer. Reconcile cash capex to lease-adjusted capacity commitments and test cloud utilization and OpenAI collections under a downside case. This report records no investment approval or reviewer sign-off.

SIGN-OFF	NAME / DATE	DECISION / COMMENTS
Lead investment professional	Pending	No sign-off recorded
Financial diligence lead	Pending	No sign-off recorded
Legal / compliance	Pending	No sign-off recorded
Risk / quantitative review	Pending	No sign-off recorded
Investment committee chair	Pending	No sign-off recorded

Appendix Workbook Guide and Sources

Read START HERE and Inputs before editing. The Financials tab separates historical evidence from forecasts. Blank schedules represent unavailable or out-of-scope inputs.

Source references follow. Reconcile changes to the reporting period and retain a dated record of the evidence reviewed.

FY2026 10-K · Consolidated Statements of Cash Flows

FY2026 10-K · Management’s Discussion and Analysis

FY2026 10-K · OpenAI relationship disclosure

2026-04-27 Microsoft and OpenAI amend their agreement

2026-07-29 Fiscal 2026 annual filing